Q4 Billing Risk Assessment

Prepared for Finance Controller review • October 24, 2026 • Confidential

$13.3M	2,167	37	68 days
Total overdue billing value (top 3)	Overdue billing due list items	Affected customers	Until Q4 close (Dec 31)

1. Executive Summary

This report summarises the Q4 billing risk exposure as of **October 24, 2026**, based on analysis of the billing due list, posted billing documents, and customer returns data in SAP S/4HANA Public Cloud. With **68 days remaining until Q4 close**, immediate action is required on three high-value customer accounts to secure revenue recognition within the current fiscal quarter.

Days to Q4 close: 68 days (deadline: December 31, 2026). For Net-45 payment terms, invoices must be issued by **November 16**. For Net-30 terms, the latest billing date is **December 1**.

Total overdue backlog: 2,167 items across 37 customers are sitting on the billing due list past their scheduled billing date. The top 3 customers alone account for **$13.3M** of unbilled revenue.

Critical account: CA Specialty Cycles 2 has an unbilled item dating back to **April 19, 2025** — 553 days ago (18+ months). This signals a systemic issue that must be resolved before any Q4 recognition is possible for this account.

September posting: All 5,021 billing documents dated September 2026 have been successfully transferred to accounting (status: Complete). No unposted documents from last month.

Credit memo exposure: No open credit memo requests or customer returns were found for any of the three priority accounts. Credit memo risk is not currently materialised.

2. Top At-Risk Customers

The following customers carry the highest overdue billing exposure. Figures represent items on the billing due list whose scheduled billing date has passed — deliveries completed but not yet invoiced.

Customer	Customer ID	Open Value	Items	Oldest Item	Days Open	Risk
US Specialty Cycles 6	USCU_S06	**$5,168,992**	45	Sep 2, 2026	52	HIGH
CA Specialty Cycles 2	CACU_S02	**$4,062,436**	87	Apr 19, 2025	553	CRITICAL
US Specialty Cycles 2	USCU_S02	**$4,033,078**	41	Sep 1, 2026	53	HIGH
All other customers	—	~est.	2,044	Varies	Varies	MEDIUM

New items accumulating this week (same customers, Oct 19–25, 2026):

Customer	New Items (This Week)	New Value (This Week)
US Specialty Cycles 6	6	$519,935
CA Specialty Cycles 2	12	$452,521
US Specialty Cycles 2	3	$126,062
Total (top 3 new this week)	21	**$1,098,518**

Note: The billing backlog is actively growing. These customers are generating new unbilled deliveries each week while their historic backlog remains unresolved.

3. Document Type Breakdown

Across the entire billing due list, the following billing document types are present. Standard delivery invoices (F2) dominate the overdue backlog. No credit memo requests were identified for the three priority customers.

Document Type	Code	Category	Count	Notes
Standard Invoice (Delivery)	F2	L	2,162+	Dominant type — delivery-related billing. Requires completed goods issue.
Credit Memo	G2	A	1	Single item for 'Mountain bIke inc'. Not among top 3 customers.
Intercompany Invoice	IV2	I	2	Internal plant-to-plant billing. Low risk.
Contract Invoice	CI01	X	2	Service contract billing for Consulting Corp & Audit Corp.

Risk Register Summary

Risk	Severity	Revenue at Risk	Status
Payment not collected before Dec 31 (Net 45+ terms)	CRITICAL	Up to $13.3M	■ Open
CA Specialty Cycles 2 — systemic billing block slips to FY27	CRITICAL	$4.1M	■ Open
Concentration risk — 3 customers = ~$13.3M of backlog	HIGH	$13.3M	■ Monitor
Backlog growing — top 3 adding ~$1.1M new items weekly	HIGH	$1.1M/week	■ Monitor
Credit memo offsets reducing net Q4 revenue	LOW	Not confirmed	■ No evidence
Unposted September billing documents	LOW	None	■ All posted

4. Recommended Actions Before Q4 Close

Actions are listed in priority order. The single most impactful immediate step is investigating the CA Specialty Cycles 2 billing block — every day of delay on that account materially reduces the probability of Q4 revenue recognition.

Priority	Customer	Action	Deadline	Owner
URGENT	CA Specialty Cycles 2	Investigate & remove billing blocks. Escalate to Account Manager. Identify root cause of 18-month unbilled backlog.	Today	Billing Mgr + Acct Mgr
URGENT	CA Specialty Cycles 2	Confirm payment terms. If resolution found, create all 87 billing documents and post to accounting immediately.	Oct 31	Billing Team
HIGH	US Specialty Cycles 6	Release any billing blocks. Execute billing run for 45 overdue items + 6 this-week items in one sweep.	Oct 28	Billing Team
HIGH	US Specialty Cycles 2	Bundle with US Specialty Cycles 6 billing run. Process all 41 overdue + 3 this-week items together.	Oct 28	Billing Team
MEDIUM	All customers	Confirm Net-30/45/60 payment terms for top 3 accounts. Adjust billing deadlines accordingly. Net-45 window closes Nov 16.	Oct 25	Controller
MEDIUM	All customers	Schedule weekly billing due list review through December. Monitor CA Specialty Cycles 2 resolution progress daily.	Ongoing	Finance Ops

Data source: SAP S/4HANA Public Cloud — Billing Due List (C_BillingDueListItem_F0798), Billing Documents (C_BillingDocument_F0797), Customer Returns (C_CustomerReturn). Analysis run: October 24, 2026.